NextEra Energy, Inc.

NEE NYSE

Buy	**$85.30 ▲ 0.28%**	12M Price Target **$98.00**	52-Week Range $67.20 – $98.75	Market Cap $177.89B

NEE: Reiterate Buy; Dominion Deal Reinforces Scale Leadership

WHAT'S CHANGED

- Overnight news flow features NEE in a Dominion (D) deal context, with analysts upgrading D following the announcement — implies NEE is on the acquiring/partnering side of a structural utilities consolidation move, reinforcing its scale narrative.
- Stock has held a tight $83.66–$85.68 range over 5 sessions on declining volume (14.2M → 7.3M), suggesting absorption near the upper-mid of the 52-wk range (57th percentile) ahead of the next catalyst.

IMPLICATIONS

The Dominion-related transaction headline and inclusion among "billionaire-favored" renewable names signals that institutional sponsorship in regulated/renewable hybrids is intensifying — directly favorable to NEE's dual FPL + Energy Resources model. With Utilities (+0.86% 1D) lagging Staples and Real Estate but holding green on a defensive tape, NEE's outperformance vs. industry YTD (per Zacks) confirms it is the preferred vehicle for AI-power-demand exposure within a defensive wrapper. The extreme call skew (P/C 0.22) with deep ITM call buying suggests smart money positioning for a re-rate higher rather than a hedge against downside.

VALUATION

At $85.30, NEE trades at ~23x FY26E EPS of $3.65 and ~14x EV/EBITDA — a premium to regulated utility peers (~18x) but justified by best-in-class renewables backlog and FPL rate base growth of ~10%. Our $98 PT (15% upside) applies 24x our FY27E EPS of $4.05, reflecting AI-driven power demand multiple expansion. Multiple contraction risk centers on rising back-end yields or policy reversal on IRA tax credits.

KEY RISKS

- Policy/regulatory risk on renewables tax credits (PTC/ITC) under shifting federal posture
- Interest rate sensitivity — 10Y backup compresses regulated utility multiples
- Florida hurricane/storm cost recovery lag at FPL impacting near-term cash flow

RECENT NEWS

Analyst Upgrades Dominion Energy (D) Following NextEra Deal Announcement Insider Monkey · 2026-06-05 03:31

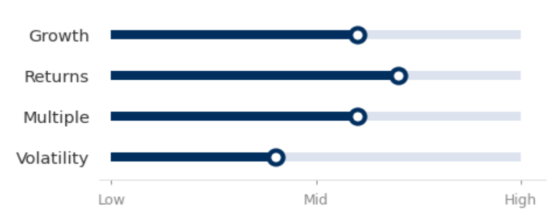
NextEra Energy (NEE) – Among the 10 Best Renewable Energy Stocks to Buy According to Billi… Insider Monkey · 2026-06-05 03:28

NextEra Energy Outpaces Industry in YTD: How to Play the Stock? Zacks · 2026-06-04 15:49

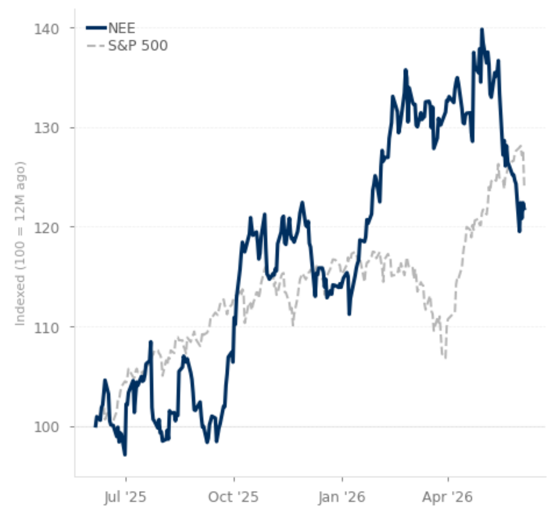
Key Data

Price (USD)	**$85.30**
12M Price Target	**$98.00**
Upside / (Downside)	**+14.9%**
Market Cap	**$177.89B**
FY2026E Revenue	**$28,500M**
FY2027E Revenue	**$31,200M**
FY2026E EPS	**$3.65**
FY2027E EPS	**$4.05**
Fwd P/E	**23.4x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



NEE — NextEra Energy, Inc. | June 05, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$90.00**	$86.00	**$81.00**
6 Months	**$95.00**	$90.00	**$78.00**
1 Year	**$105.00**	$98.00	**$75.00**
2 Years	**$120.00**	$110.00	**$78.00**
5 Years	**$160.00**	$135.00	**$85.00**
10 Years	**$240.00**	$180.00	**$95.00**

SECTOR INTELLIGENCE

HOT SECTORS: Consumer Staples (+2.16%), Healthcare (+2.55% 5D)

COLD SECTORS: Industrials (-1.35% 1D), Utilities (-0.23% 5D)

ROTATION WATCH: Defensive rotation is in early innings as Staples/Healthcare/Real Estate lead — Utilities lagging on 5D suggests NEE-specific alpha (vs. group) is the driver, not sector beta. A dovish Fed pivot would accelerate utility catch-up.

BYPRODUCT PLAY: AI hyperscaler power demand creates secondary beneficiaries in grid equipment (GEV, ETN), nuclear restarts (CEG, VST), and transmission EPCs (PWR, MYRG) — NEE's renewables-plus-storage backlog is a direct beneficiary.

OUTPERFORMERS & PEER CONTEXT

- CEG (Constellation Energy): Nuclear PPAs with hyperscalers driving multiple expansion well above regulated utility peers
- VST (Vistra Corp): AI-power thematic leader, outperforming XLU by wide margin YTD on data center demand

NEE CONTEXT: Per Zacks, NEE is outpacing its utility industry YTD — pulling away from regulated peers but trailing the pure-play merchant/nuclear AI-power names. NEE offers the defensive-with-upside profile that bridges both camps.

INVESTMENT STRATEGY

8/10 Conviction Score

Position Size: 3-5% of portfolio

Entry Points: $82-84 on pullbacks

Time Horizon: 12-24 months

Thesis Invalidation: Loss of renewables PTC/ITC support or sustained backlog cancellations >15%

Hedging: Pair long NEE vs short XLU or long-dated puts at $75 strike